

2Q26: solid earnings, while FCC overhang remains

Quick Note

Zhongji InnoLight reported 1H26 results on 21 Aug after market close, with revenue / earnings recording 182.5% / 241.7% y-y growth, translating to 174.6% / 228.2% y-y revenue / earnings growth in 2Q26 (+14.3% / 38.1% q-q). 2Q26 revenue missed our estimates by 9%, and GPM of 46.4% (+4.9pp y-y or +0.4pp q-q) fell short of our estimates of 48%. Net profit of CNY7.9bn beat our estimates by 8.5% while recurring net profit came in at CNY7.37bn (+206% y-y or +29% q-q), and the difference was likely due to investment gains. We think the 2Q26 solid print shows the healthy uptrend of the high-end (800G / 1.6T) optical transceiver market, while the company continues to benefit from this structural product upgrade in 2H26F. Although the tight supply was still a pull factor in 2Q26 for the company's product shipments, we think the supply gap will narrow in 2H26F, and the company's effective supply chain management will help it to maintain its leading market share. InnoLight's OCF declined 44% y-y to CNY1.8bn in 1H26, which we attribute to inventory building and believe it could underpin a stronger delivery in 2H26F.

We note media reports last week about "ITI (Information Technology Industry Council)" opposing to add foreign-made optical transceivers to the "Covered List" ([link](#)), or if the FCC were to consider such an action, ITI would encourage a narrow approach focused on production by entities already included in the Covered List. However, we think the potential FCC rule on the optical transceiver sector is still unclear and remains an overhang, as the market is wary about the potential inclusion of "new data center optical components", which could affect next-gen products (i.e. 2.4T / 3.2T transceivers and Near-field packaging optics, or NPO). We think InnoLight and its major customers are working proactively for technology development of the next-gen products, and the company may continue to maintain its industry-leading positions by staying ahead of the technology curve. We maintain our Buy rating and TP of CNY1,375, based on 21x FY27F EPS of CNY65.47, in line with WIND's China A share tech/electronic component sector median P/E. The stock is currently trading at 14.4x FY27F EPS.

Rating Remains	Buy
Target price Remains	CNY 1,375.00
Closing price 21 August 2026	CNY 943.00

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Fig. 1: Zhongji InnoLight - 1H26 and 2Q26 results

(CNY mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	y-y	q-q	1H24	2H24	1H25	2H25	1H26	y-y	h-h
	A	A	A	A	A	A			A	A	A	A	A		
Revenue	6,674	8,115	10,216	13,235	19,496	22,281	174.6%	14.3%	10,799	13,064	14,789	23,451	41,778	182.5%	78.2%
% chg yoy	37.8%	36.2%	56.8%	102.1%	192.1%	174.6%			169.7%	94.6%	37.0%	79.5%	182.5%		
COGS	(4,225)	(4,748)	(5,845)	(7,348)	(10,517)	(11,938)			(7,221)	(8,575)	(8,973)	(13,193)	(22,455)		
Gross Profit	2,449	3,367	4,371	5,887	8,980	10,343			3,578	4,489	5,816	10,258	19,323		
OPEX	(499)	(523)	(652)	(1,006)	(1,227)	(1,022)			(942)	(1,228)	(1,022)	(1,147)	(2,249)		
Operating Income	1,950	2,844	3,719	4,882	7,753	9,321	227.8%	20.2%	2,636	3,261	4,794	9,111	17,074	256.2%	87.4%
% chg yoy	74.2%	87.5%	112.4%	223.3%	297.6%	227.8%			302.9%	112.7%	81.9%	179.4%	256.2%		
Finance Expense	17	22	(83)	(139)	(251)	(311)			66	79	39	(222)	(562)		
Other gains/expense	22	26	323	17	34	685			28	(17)	48	(170)	719		
Pretax income	1,990	2,891	3,959	4,759	7,536	9,695	235.3%	28.6%	2,730	3,323	4,881	8,718	17,231	253.0%	97.6%
% chg yoy	69.3%	86.0%	135.2%	190.2%	278.7%	235.3%			282.1%	86.9%	78.8%	162.4%	253.0%		
Tax	407	479	823	1,094	1,801	1,778			371	510	886	1,916	3,579		
Profit to shareholders	1,583	2,412	3,137	3,665	5,735	7,917	228.2%	38.1%	2,358	2,813	3,995	6,802	13,651	241.7%	100.7%
% chg yoy	56.8%	78.8%	125.0%	158.3%	262.3%	228.2%			284.3%	80.4%	69.4%	141.8%	241.7%		
EPS	1.43	2.17	2.82	3.30	5.16	7.12			2.10	2.51	3.60	6.12	12.24		
Ratio Analysis															
GPM	36.7%	41.5%	42.8%	44.5%	46.1%	46.4%	4.9pp	0.4pp	33.1%	34.4%	39.3%	43.7%	46.3%	6.9pp	2.5pp
OPEX	7.5%	6.4%	6.4%	7.6%	6.3%	4.6%	-1.9pp	-1.7pp	8.7%	9.4%	6.9%	4.9%	5.4%	-1.5pp	0.5pp
OPM	29.2%	35.0%	36.4%	36.9%	39.8%	41.8%	6.8pp	2.1pp	24.4%	25.0%	32.4%	38.9%	40.9%	8.5pp	2.0pp
NPM	23.7%	29.7%	30.7%	27.7%	29.4%	35.5%	5.8pp	6.1pp	21.8%	21.5%	27.0%	29.0%	32.7%	5.7pp	3.7pp

Source: Company data, Nomura research

Appendix A-1

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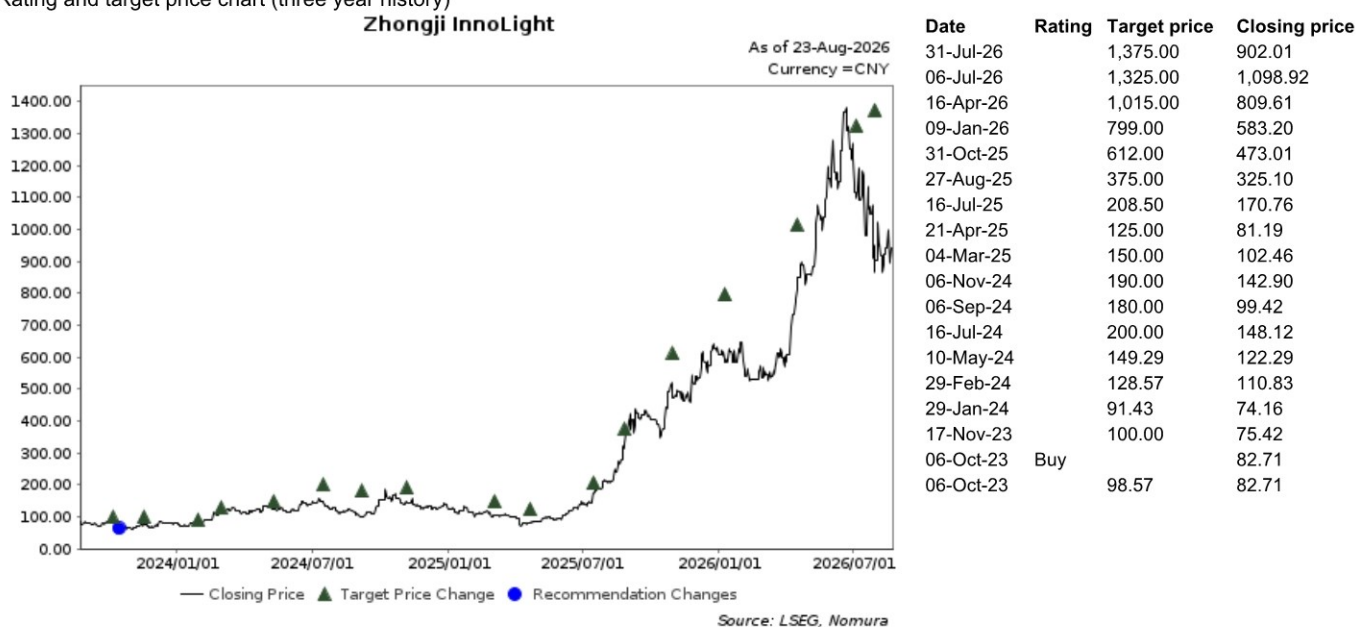
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Zhongji InnoLight	300308 CH	CNY 943.00	21-Aug-2026	Buy	N/A	

Zhongji InnoLight (300308 CH)

CNY 943.00 (21-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of HKD1,375.00 is based on 21x 2027F EPS of CNY65.47, in line with its A-share historical median P/E. The benchmark index is Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

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As at 30 June 2026.

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